TEACHER GUIDE

SQA National 5 Business Management (C810 75)

Product portfolio

Management of marketing
Product: product life cycle



A revision lesson. Pupils run a car dealership in firms of four and revise product portfolio on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 New model cash flow

Round 1

You have just launched a new model. You advertise it heavily, and few have sold.

What is its cash flow most likely to be?

- **A** Negative: costs exceed sales
- **B** Zero: nothing has sold
- **C** Positive: no advertising needed
- **D** Positive: sales are at a peak

ANSWER

✓ Negative: costs exceed sales

Why: At launch, spending on stock and adverts is high and sales are low.

2 Extension strategy

Round 1

Sales of an old model fall each month.

Which two are extension strategies?

- **A** Sell it to a new group of buyers
- **B** Raise its price sharply
- **C** Withdraw it at once
- **D** Stop advertising it
- **E** Add new features or colours

ANSWER

✓ Sell it to a new group of buyers
✓ Add new features or colours

Why: Changing the product or finding new buyers keeps its sales going.

3 Life cycle in order

Round 2

Four moments in the life of one model.

Put them in life-cycle order, first to last?

- **A** Sales high but flat; many rivals
- **B** Sales rise fast; rivals copy it
- **C** Few buyers know it; heavy adverts
- **D** Sales fall; buyers want newer models

ANSWER

1. **Few buyers know it; heavy adverts**
2. **Sales rise fast; rivals copy it**
3. **Sales high but flat; many rivals**
4. **Sales fall; buyers want newer models**

Why: Introduction, growth, maturity, decline.

Topic tasks

4 Sales growth %

Round 2

Sales of your newest model.

Growth from year 2 to year 3, as a %?

Sold in year 1	**50 cars**
Sold in year 2	**190 cars**
Sold in year 3	**285 cars**

ANSWER

50%

(285 − 190) ÷ 190 × 100 = 50%

Why: Sales still rising fast: the model is in its growth stage.

5 Extend or withdraw

Round 3

Your best-seller's sales are falling, but buyers still like its looks.

What should you do, and why?

A Withdraw it now

B Extend it: new colours and kit

ANSWER

✓ Extend it: new colours and kit

Why: Buyers still like it, so a refresh can extend its life.

6 Stage and profit

Round 3

Your best-selling model's sales are high but no longer rising. Rivals sell similar models.

Which stage is it at, and what is profit like?

A Growth: losses as costs are high

B Introduction: profit near its peak

C Decline: profit near its peak

D Maturity: profit near its peak

ANSWER

✓ Maturity: profit near its peak

Why: High, flat sales with many rivals is maturity, when profit is usually highest.

Final questions

Each pupil answers 6 final questions on product portfolio. They come from these 10 questions.

1. A dealership lets customers reserve a test drive through its website. Which element of the marketing mix is most directly changed?
   ✔ **Place: the service can now be reached online**

2. A completely new vehicle-care service has just launched and few customers know it exists. Which product life-cycle stage is this?
   ✔ **Introduction**

3. A dealer promises premium service but has poorly trained staff and unreliable booking. What is the main marketing problem?
   ✔ **The mix does not match the premium position**

4. Promotion promises same-day booking, but the website shows no slots and a different price. What should the dealer fix first?
   ✔ **Make availability, price and the promise consistent**

5. The Sales lead sets a premium price but promotion promises “the cheapest basic option” and service is minimal. What is wrong?
   ✔ **Price, promotion and service clash**

6. A van model has been on sale six years. Sales have fallen three years running and a replacement is announced. Which life cycle stage is this?
   ✔ **Decline**

7. A new electric model has just been launched. What is usually true at this introduction stage of its life cycle?
   ✔ **Sales are low and promotion costs are high**

8. Sales of a popular hatchback are rising fast, and more buyers ask for it every month. Which stage of the product life cycle is it in?
   ✔ **Growth**

9. Sales of an older diesel model have fallen for three years in a row. Which stage of the product life cycle is it in?
   ✔ **Decline**

10. A family car has sold well for years. Its sales are high but have stopped rising. Which stage of the product life cycle is it in?
    ✔ **Maturity**